area to promote duty free trade and free movement of labour and capital among its members. e.g. European Common Market (ECM)

❖ **An economic union** is composed of a common market with a customs union. The participant countries have both common policies on product regulation, freedom of movement of goods, services and the factors of production and a common external trade policy. (e.g. European Economic Union)

Institution	Headquarters	Year of Establishment
South Asian Association for Regional Cooperation (SAARC)	Kathmandu	1985
ASEAN	Bangkok	1967
BRICS	Shangai	2001

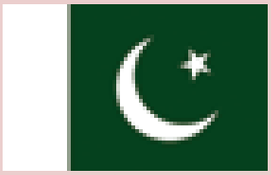
8.6 South Asian Association For Regional Co-Operation (SAARC)

The South Asian Association for Regional Co-operation (SAARC) is an organisation of South Asian nations, which was established on 8 December 1985 for the promotion of economic and social progress, cultural development within the South Asia region and also for friendship and co-operation with other developing countries. The SAARC Group (SAARC) comprises of Bangaladesh, Bhutan, India, The Maldives, Nepal, Pakistan and Sri Lanka. In April 2007, Afghanistan became its eighth member. The basic aim of the organisation is to accelerate the process of economic and social development of member states through joint action in the agreed areas of cooperation. The SAARC Secretariat was established in Kathmandu (Nepal) on 16th January 1987. The first SAARC summit was held at Dhaka in the year 1985. SAARC meets once in two years. Recently, the 20th SAARC summit was hosted by Srilanka in 2018.

Members of SAARC


India


Bhutan


Pakistan


Nepal


Bangaladesh


Maldives


Sri Lanka


Afghanistan

Its seven founding members are Bangladesh, Bhutan, India, the Maldives, Nepal, Pakistan and Sri Lanka. Afgharistan joined later on 3rd April, 2007

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